

To: Hon. Bill Morneau; Hon. Navdeep Bains
From: Rahim Mohamed, University of Calgary School of Public Policy
Date: 4/23/2019

RE: The Pink Tax

Executive Summary:

A succinct definition of the problem.

A succinct description of its importance.

A succinct summary of the recommendation.

The term 'Pink Tax' refers to the premium that female consumers pay because products marketed towards women tend to be more expensive than those marketed to men. This premium has been found to be especially steep for basic toiletries and health products. The Pink Tax contributes to the persistent feminization of poverty and contravenes both national and supranational non-discrimination principles. Accordingly, we suggest that all federal sales taxes be removed from essential feminine hygiene products (e.g.: tampons, sanitary pads) and that appropriate consumer protection regulations be created to encourage price parity.

Jargon-free language.

Background:

Concise explanation of the issue.

Compelling statistics showing who's affected and how much.

The Pink Tax, so named because many of the affected products are either pink or encased in pink packaging, is a long-running problem rooted in the sustained efforts of companies to increase profit margins through gendered product differentiation. The phenomenon has been studied most extensively by The New York City Department of Consumer Affairs which, in 2015, published its findings in a study titled *From Cradle to Grave: The Cost of Being a Female Consumer*. After tracking nearly 800 products from 900 brands, the study found that adult women spend an average of 13 percent more than adult males on equivalent items (NYC Consumer Affairs, 2015). The Canadian Labor Institute (2018) estimates that the average Pink Tax premium in Canada is 43 percent.

Evidence-based info.

Recommendations:

Recognizing the persistent discriminatory effect of the Pink Tax on female consumers, we recommend the following:

Specific steps for implementation.

- Remove all federal sales taxes from feminine hygiene products: Products like tampons and sanitary pads are basic necessities for women and they should not be forced to pay a premium to obtain them.
- Work with provincial regulators to establish an appropriate set of consumer protections: Given that consumer protection (involving the sale of goods and services) is an area of provincial jurisdiction, the federal government needs to bring the provinces together to establish regulations that encourage price parity for female and male targeted products. We encourage you raise this issue at the next First Ministers' Conference.

Overall: No waste – every sentence in this memo is focused on one issue: the Pink Tax.